

In some cases, the reputation of the location can also help the company sell more or sell at a premium because of the brand value associated with the location.

One example that we have discussed is cement companies that are closer to the market. Transporting cement can be a huge expense over long distances. So, a cement company that is close to a region undergoing a lot of development can sell cheaper and attract more demand than its competitors who are relatively far away.

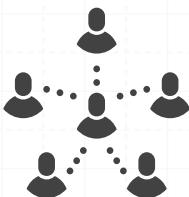


Similarly, natural resources companies that are close to the extraction point (mines, oil wells, etc.) will have a cost advantage over their competitors.

Earlier we had mentioned that Bangladesh can supply textiles at cheaper rates because of low per capita income in the country. **Similarly, in India, there is a mix of technical expertise and low per capita income as compared to developed countries. Hence, Indian IT companies can quote low prices to overseas firms and institutions.**

If a location is known for higher quality materials, like Assam for tea leaves, then companies operating in Assam itself will find it easier to charge a premium for their products.

4. NETWORK BENEFITS



Products that are used to connect with other people or that are used to work on collaborative tasks will need to have a large network of users. Let us understand this through some examples.